

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-07

PKDC, LLC
Complainant,

v.

COSCO SHIPPING LINES CO.,
Respondent

VERIFIED COMPLAINT

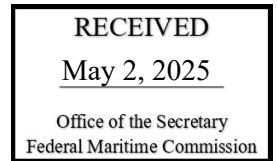
Complainant, PKDC, LLC (PKDC or Complainant), by and through its attorneys, Sandler, Travis & Rosenberg, P.A., alleges as follows:

I. COMPLAINANT

1. Complainant, PKDC, is a limited liability company existing under the laws of the State of Colorado with its principal place of business at 5641 N Broadway, Denver, Co 80216. Complainant may be contacted through its counsel at the numbers and email addresses listed below.

II. RESPONDENT

2. Respondent COSCO Shipping Lines Co., Ltd. ("COSCO") is a corporation organized under the laws of China. COSCO's corporate headquarters is located at No. 378, Dong Da Ming Road, Shanghai, China. COSCO is an ocean common carrier conducting business in the United States through Respondent COSCO Shipping Lines (North America) Inc. ("COSCO



America”). COSCO America’s principal place of business is located at 100 Lighting Way, 3rd Floor, Secaucus, New Jersey 07094. COSCO was at all times pertinent to this complaint an ocean common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

III. JURISDICTION AND LEGAL AUTHORITY

3. The FMC has jurisdiction over this matter pursuant to the Act, 46 U.S.C. 40101 *et seq.*

4. The FMC has personal jurisdiction over Respondent as an ocean common carrier as the term is defined in 46 USC §§ 40102(7)(9) and (18).

5. Respondent’s actions complained of herein constitute a failure of Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering property of Complainant in violation of 46 U.S.C. § 41102(c) and 46 CFR § 545.5, including the Incentive Principal as articulated in Section 545.5.

IV. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

6. Complainant is a U.S. based furniture distributor based in Colorado. Complainant imports furniture from various countries including China, Vietnam, and India. Complainant relies on ocean common carriers, including Respondent, to ship goods to the United States.

7. In 2022, PKDC shipped hundreds of containers using COSCO under a shipping contract entered into between PKDC and COSCO.

8. In the shipping contract, Respondent agreed to provide up to 10-days free chassis rental from Respondent’s nominated chassis provider.

9. Many, if not substantially all of the subject containers were landed in various ports in California and then shipped to the UP Memphis and BNSF Memphis rail terminals via rail.

10. During much of 2022, UP Memphis and BNSF Memphis rail terminals experienced an influx of containers.

11. The influx of containers resulted in a variety of issues affecting container unavailability including but not limited to the stacking of containers, in some cases, for months at a time.

12. The influx of containers also resulted in a systemic shortage of appointments for pick up and return and a shortage of chassis including chassis from the Respondent's nominated chassis provider.

13. Exacerbating the lack of chassis, often COSCO's required location for container return would not allow dismounting of the container for reuse of chassis to outgate other COSCO containers.

14. Stacked containers, a lack of appointments and/or lack of chassis including a lack of chassis at the Respondent's nominated chassis provider, rendered containers unavailable for pick up and incapable of being returned and detention and demurrage charges could not incentivize freight fluidity.

15. Despite the issues, COSCO assessed PKDC with detention and demurrage on hundreds of containers amounting to hundreds of thousands of dollars in charges.

16. In fact, between May and October of 2022 alone, Complainant was invoiced and paid nearly \$1,000,000.00 in charges assessed by the Respondent. A list of challenged invoices annexed as Exhibit A.

17. Per 46 U.S.C. § 41102(c), Respondent is statutorily required to establish and enforce reasonable practices with respect to its assessment of detention and demurrage charges.

18. As explained in Section 545.5, "the purpose of demurrage and detention are to incentivize cargo movement," and therefore the FMC "will consider in the reasonableness analysis

under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity.”

19. On information and belief, the majority of the charges complained of herein were assessed as a result of situations out of Complainant’s control in violation of the incentive principal and therefore the charges could not serve the primary intended purpose of the promotion of freight fluidity and were therefore unreasonable.

20. Complainant and its logistics providers routinely informed Respondent of the issues outside of Complainant’s control resulting in containers not being picked up or returned within free time including but not limited to lack of appointments, chassis unavailability, unavailable stacked containers and Respondent was well aware of same.

21. For example:

- On July 26, 2022, PKDC’s logistic provider contacted COSCO and requested a container return location “that will dismount instead of UP so that we may reuse the chassis to outgate cosco containers that are in storage? COSCO responded “empty returns are to go to UPRR, at the moment we don’t have another alternative.”
- On September 28, 2022, Ms. Jennifer Barr, of COSCO, sent an email acknowledging the issue with stacked containers explaining “[u]nfortunatly when the containers are stacked, there is nothing that can be done to facilitate availability. The rail does not have the ability to pull a container from a stack until other units have been moved. The only thing that can be done is to wait for chassis to open up.
- On September 29, 2022, COSCO was alerted that containers were being stacked for months at a time. Specifically, COSCO was sent the following email:

UP Team,

Our customer PKDC has several containers in stacks at your ramp in Marion Arkansas. We are trying to find out why storage is owed on these? If there are no chassis to mount them on, shouldn't storage start after the container is mounted on a chassis? Why should our customer have to pay \$1900 per container because you cannot mount them? Your assistance and attention to this matter is greatly appreciated.

Some of these containers have been in stacks since 7/31.

22. In addition, the issues occurring at the railyards in 2022 were well publicized. *See e.g.* [West Coast port congestion leads railroads on a new cross-country trip](#)

23. Despite being well aware of the issues affecting the ability to retrieve and return containers, Respondent still assessed hundreds of thousands of dollars in unreasonable charges.

VIII. CAUSATION

24. Respondent's practice of assessing charges in violation of the incentive principal directly and proximately caused Complainant injury by forcing Complainant to pay unreasonable and illegal charges.

VI. DAMAGES

25. Respondent's assessment of unjust and unreasonable charges caused Complainant to pay hundreds of thousands of dollars in unreasonable charges.

VII. CAUSES OF ACTION VIOLATION OF 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5

26. Complainant repeats and realleges each allegation set forth above as is fully set forth herein.

27. Respondent's practices alleged herein including assessing charges in violation of the incentive principal constitute a failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling and storing and delivering Complainant's property in violation of 46 U.S.C. § 41102(c).

VII. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that COSCO be ordered to answer this Complaint pursuant to 46 U.S.C. Section 41301(b) and prayers for relief as follows:

1. An investigation pursuant to 46 U.S.C. 41301(c) into the matters alleged in this Complaint.
2. An order after investigation pursuant to 46 U.S.C. 41301(c) finding that Respondent has violated the provisions outlined herein.
3. An Order compelling Respondent to cease and desist from violating the Shipping Act as outlined herein and requiring Respondent to put into place practices to preclude future violations.
4. An Order requiring Respondent to pay Complainant reparations for the unlawful practices outlined herein in an amount to be proven pursuant to 46 U.S.C. 41305, with interest pursuant to 46 U.S.C. 41305(A), Complainant's reasonable attorney's fees, as the prevailing party pursuant to 46 U.S.C. 41305(e), and any other amounts the FMC determines to be just and proper.
5. Such other further relief as the FMC determines to be just and proper.

VIII REQUEST FOR ORAL HEARING

Complainant requests an oral hearing in Washington, D.C.

Respectfully submitted,

SANDLER, TRAVIS & ROSENBERG, P.A.

Attorneys for Plaintiff

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New York, New York 10017

Telephone: (212) 549-0137

By: /s/ Jason M. Kenner
JASON M. KENNER

/s/ Andrew Margolis
ANDREW MARGOLIS

VERIFICATION

I, Bill Smith, am authorized to make this verification on behalf of PKDC, LLC. I have read the forgoing Verified Complaint and believe to the best of my knowledge, information and belief including information received from other agents and employees of PKDC, LLC, that the facts stated herein are true and correct. I declare under the penalty of perjury that the forgoing is true and correct.

A handwritten signature in black ink, appearing to read "BMS", is written over a horizontal line.

May 1, 2025